

SLC Agrícola lease renegotiation with Terra Santa

The news:

Yesterday, Terra Santa announced it had amended its lease agreements with SLC Agrícola, raising the annual lease payment from 17 to 20.5 soybean bags per hectare for the next three crop years (2024/25, 2025/26, and 2026/27). The adjustment takes effect immediately and will be reflected in the 2Q25 payment.

Our take:

As is customary in the sector, lease contracts are periodically renegotiated, and SLC's agreement with Terra Santa is no exception. This review takes place every three years, and this was set at the time of the deal three years ago. Brazil has seen a consistent rise in yields over the past decades, with farmers significantly increasing output per hectare. Yesterday's announcement is a reminder that productivity gains in agriculture are not captured solely by farming operations—landowners also share in the upside.

Importantly, not all of the 3.5 bag/ha increase is tied to land use. Of the total, 2 of the bags reflect higher farmland rent (from 17 to 19 bags/ha), while the remaining 1.5 bags relate to infrastructure leasing—an element that wasn't originally included. SLC currently leases ~40k hectares from Terra Santa in premium, high-productivity areas of MT, where soybean, cotton, and corn crops are well established and among the highest productivity rates in Brazil. This helps explain why lease rates there are significantly above what we expect to be the company's average leasing cost (~11-13 bags/ha).

While the lease hike will weigh on profitability, the impact should be modest. Since we lack clarity on what SLC gains from using Terra Santa's infrastructure, we focus here on the 2 bag/ha increase tied to land use. Assuming a soybean price of USD11.5/bu—consistent with the company's hedge positions—we estimate an incremental cost of R\$11mn, equivalent to just 0.5% of our projected 2025 EBITDA.

SLC's share price tends to reflect different dynamics depending on the timeframe. In the short term, it closely tracks commodity prices. While we don't expect a near-term rally in soybeans or cotton, we also see limited downside, as prices are near marginal production costs, and the ongoing trade war could provide additional support for Brazilian soybeans. Over the long run, SLC remains well-positioned to deliver value through growth and productivity. From a valuation perspective, it continues to look attractive, trading at a high single-digit free cash flow yield, even in a muted commodity environment. We reiterate our BUY rating.

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Table 1: The impact from increased leasing of Terra Santa lands should not be significant

	Before	Now	Additional
Land area ('000 ha)	39	39	
Soybean bags/ha	17	19	
Soybean bags ('000)	665	743	
Soybean price (USD/bu)	11.5	11.5	
Soybean price (USD/bag)	25.3	25.3	
USD/BRL	5.70	5.70	
Soybean price (R\$/bag)	144.2	144.2	
Leasing cost (R\$m)	96	107	11
% of EBITDA 2025E			0.5%

Source: Company / BTG Pactual estimates

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SLC Agrícola	SLCE3.SA	Buy	R\$19.33/US\$3.41	2025-05-09
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Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%